

UNITED STATES OF AMERICA
FEDERAL ENERGY REGULATORY COMMISSION

Interconnection of Large Loads to the Interstate
Transmission System

Docket No. RM26-4-000

REPLY COMMENTS OF INTERNATIONAL ENERGY CREDIT ASSOCIATION

The International Energy Credit Association (“IECA”) submits these reply comments (“Reply Comments”) in response to the Federal Energy Regulatory Commission’s (“Commission” or “FERC”) Notice Inviting Comments issued on October 27, 2025 (“Notice”), in the above-captioned docket. In its Notice, the Commission referenced a proposed advance notice of proposed rulemaking (proposed “ANOPR”) issued on October 23, 2025, by the Secretary of Energy (“Secretary”) pursuant to Section 403 of the Department of Energy Organization Act,¹ which authorizes the Secretary to propose rules for consideration by the Commission. As extended by the Commission, the Notice requests that initial comments be submitted by November 21, 2025, and reply comments be submitted by December 5, 2025. The Secretary’s transmittal letter of October 23, 2025, called for the Commission to take “final action (no later than April 30, 2026)” on the Secretary’s proposed ANOPR.

Fundamentally, the Secretary’s proposed ANOPR is intended to expedite the process of interconnecting large loads in excess of 20 MW to the interstate transmission system, focusing primarily on the interconnection of Data Centers to the grid. The Secretary’s proposed ANOPR is consistent with President Trump’s issuance on July 23, 2025, of Winning the Race: America’s AI Action Plan. The IECA submitted its initial Comments (“Initial Comments”) on November 21, 2025, in the above-captioned docket. The IECA appreciates the opportunity to submit these Reply Comments on the Secretary’s proposed ANOPR for the Commission’s consideration.

I. IDENTITY AND INTEREST

The IECA is an association of over 800 credit, risk management, legal and finance professionals that is dedicated to promoting the education and understanding of credit and other risk management-related issues in the energy industry. For the last 100 years, IECA members have actively promoted the development of best practices that reflect the unique needs and concerns of the energy industry. The IECA seeks to protect the rights and advance the interests of a broad range of domestic and foreign energy market participants, representatives of which make up the IECA’s membership. These entities finance, produce, sell, purchase for resale, and hedge their exposure to risk related to, substantial quantities of various physical energy commodities, including electricity, natural gas, oil, refined petroleum products, hydrogen, ammonia, renewable energy certificates, voluntary carbon credits, and numerous other energy-related physical commodities (both tangible and intangible) necessary for the healthy functioning of the energy markets and the “real economy.”

¹ 42 U.S.C. § 7173.

As market participants in physical and financial energy markets in the U.S. and globally, IECA members are directly affected by the enormity of the impact on physical and financial energy markets of new Data Center development, artificial intelligence (“AI”) implementation, new power plant construction needed to serve the Data Centers that will implement AI and other advanced computing functions. We also recognize that new Federal and State policies should encourage and support Data Center and AI development, while simultaneously protecting the provision of plentiful, reliable, and affordable electric energy to the nation’s electricity grid and its existing customers.

IECA members acknowledge the critical role that Data Centers and AI are expected to play in the growing digital economy and we urge the Commission to work collaboratively with States and State commissions to ensure that any new policies and regulations arising from the Secretary’s ANOPR are just and reasonable to all constituencies and serve the public interest. On that basis, we submit these Reply Comments.

II. PLEADINGS AND COMMUNICATIONS

Pleadings and other communications concerning this proceeding should be directed to the following persons:

Phil Lookadoo, Esq.
Haynes and Boone, LLP
800 17th Street, NW, Suite 500
Washington, DC 20006
Phone: 202-654-4510
Email: phil.lookadoo@haynesboone.com

Jeremy Weinstein, Esq.
Law Offices of Jeremy Weinstein, PC
1512 Bonanza Street
Walnut Creek, CA 94596
Phone: 925-943-2708
Email: jweinstein@jweinsteinlaw.com

III. REPLY COMMENTS

After reviewing many of the initial comments submitted by others in this proceeding, the IECA respectfully offers the following Reply Comments. We believe the public interest is best served by creating a regulatory framework that supports and encourages the interconnection of large loads, focusing primarily on large Data Centers, but applying also to other large loads such as semiconductor fabrication, high-performance computing, critical minerals facilities, and many other forms of advanced manufacturing that require large quantities of fundamentally baseload electricity generation for daily operation of such large loads.

A. BASIC DATA CENTER AND AI TERMINOLOGY.

In the IECA’s Initial Comments submitted in this Docket No. RM26-4-000, we attempted to establish a common understanding of several key terms used in most discussions about Data Centers and AI. In these Reply Comments, we are adding the following definition:

Data Center. A “Data Center” is a physical room, building, or other facility that houses IT infrastructure (i.e., large racks of computer servers, storage systems, and networking equipment) used to store, process, and manage data. Servers contain “Chips” that work together to process and store data and that ability to process data

is called “Compute.” Data Centers lease their data storage capacity to third-parties seeking access to cloud storage capacity for their data. Data Centers also lease their Compute to third parties who use that Compute to: (i) train their AI models by expanding the model’s database (i.e., “Training Compute”); (ii) process user prompts (i.e., a user’s question, command, or other task-specific instruction) to an AI model or other computer program, such as requests to analyze new data to draw conclusions (i.e., inferences) about that new data (i.e., “Inference Compute”); and (iii) perform other advanced computing applications.

Please note that we have not proposed a definition of “Co-Location,” primarily in recognition of the thousands of pages of pleadings the Commission has already received on the issue of “Co-Location” in FERC Docket No. EL25-49-000 (the Commission’s Show-Cause Order proceeding referenced below in these Reply Comments). We do ask that the Commission recognize that a large load which interconnects with the grid at one point of interconnection and is contractually tied to one or more comparably-sized generation resources which interconnect with the same grid at a physically “proximate” location, should be viewed as no less physically co-located than a large load and a comparably-sized generation resource that interconnect with the same grid at a single point of interconnection, whether in front of or behind the meter.

Including this additional definition of “Data Center,” we intend to use the following list of defined terms in these Reply Comments as we also did in our Initial Comments, which list refers back to the definitions set forth in our Initial Comments, which are shown below in alphabetical order):

AI.

Asynchronous Computing.

Compute.

Inference Compute.

Training Compute.

Controllable Dispatch.

Data Center.

FLOPS.

GPUs/Chips.

Hyperscalers.

Inference.

Transient Loads.

B. THE COMMISSION SHOULD PROVIDE GUIDANCE REGARDING THE RANGE OF ACCEPTABLE OPERATIONAL REQUIREMENTS THAT COULD ACCOMPANY EACH OF THE FOLLOWING THREE CO-LOCATION CONFIGURATIONS — (1) FIRM, (2) CO-LOCATED GENERATOR-CONTINGENT, OR (3) INTERRUPTIBLE — AND THE RANGE OF TRANSMISSION SYSTEM PROTECTIONS THAT COULD ACCOMPANY EACH SUCH CONFIGURATION.

In responding to the Secretary’s ANOPR on large load interconnection, we submit that the Commission should propose guidance on the range of acceptable operational requirements and contractual obligations that large loads and co-located generation could choose to put in place to address what happens when and if the co-located generation facility experiences a full or partial, scheduled or unscheduled outage, including whether deliveries to the Co-Located Load from the interstate transmission system are:

- (i) FIRM - the Co-Located Load is intended to consume capacity and energy from the interconnected interstate transmission system during any outage of the Co-Located Generation;
- (ii) CO-LOCATED GENERATOR-CONTINGENT - the Co-Located Load is not intended to consume capacity or energy from the interconnected interstate transmission system during an outage of the Co-Located Generation; or
- (iii) INTERRUPTIBLE - the Co-Located Load is intended to consume energy from the interconnected interstate transmission system only during an outage of the Co-Located Generation, but such deliveries may be interrupted if and to the extent required by other firm customers.

Commission guidance should also be provided regarding the range of acceptable transmission system protections that may be applied to each such configuration involving a Co-Located Load and a Co-Located Generator and the owner or operator of the interconnected interstate transmission system.

During the 1950s, 1960s, and 1970s, different regions of the U.S. provided varying levels of support for the development of large loads and large loads gravitated to regions and different States that welcomed such large loads. Quite often, large baseload coal-fired, natural gas-fired, or nuclear power plants were constructed, typically by investor-owned or municipally-owned electric utilities, to generate the baseload electric energy required by such large loads. Such new baseload generators were not necessarily located at the same point of interconnection with the grid as the new large load. Instead, such new baseload generators were physically interconnected with the same grid at locations that were physically “proximate” to the locations where such new large loads were interconnected with the transmission or distribution grid.

In the 50s, 60s, and 70s, such large loads and baseload power plants were not called “co-located loads” or “co-located generators,” but the concept was identical, and the new large load

was connected contractually with and relied upon the utility that owned the new coal-fired power plant.

Today, however, the regulatory systems and the technical configurations that currently exist in many parts of the country were not designed to address the needs of energizing the enormous number of new large loads requiring large quantities of baseload electric generation that are being developed, in the case of Data Centers, simultaneously in all fifty States.

Interconnecting this “tsunami” of new Data Centers and other large loads to the grid faces what appear to be unnecessarily long delays in various regions of the country. These delays in interconnecting new large loads to the grid can be addressed, in part, by simultaneously considering and studying the impacts of adding new baseload generation at locations on the same grid that are physically proximate to the new large loads. However, this simultaneous consideration of new large loads and new generation lies squarely at the intersection of Federal and State regulation of the U.S. electricity grid.

For several decades, the Commission has regulated the interconnection of new generation resources to the interstate transmission grid. On August 19, 2003, the Commission issued its Order No. 2003 requiring all public utilities that own, control, or operate facilities used for transmitting electric energy in interstate commerce to have on file standardized generator interconnection procedures and standardized generator interconnection agreements for generating facilities larger than 20 MW. On July 28, 2023, the Commission issued its Order No. 2023, and on March 21, 2024, the Commission issued its Order No. 2023-A, which were intended to modernize the interconnection process for new generation facilities seeking to connect to the interstate transmission grid. Reforming the Commission’s generator interconnection process was deemed by the Commission to be necessary to address the backlog of 10,000 active interconnection requests by generators in interconnection queues throughout the U.S. that existed in 2022.²

On the other hand, as expressed in the initial comments on the proposed ANOPR submitted by NARUC, VA SCC, PPUC, and other State Commissions, the siting, permitting, and interconnection of loads has historically been regulated by State government agencies. According to the foregoing initial comments, creating a Federal load queue for large loads raises jurisdictional and “major question” concerns. On that basis, those initial comments support guidance and minimum standards, but not prescriptive Federal mandates for interconnecting large loads to the interstate transmission grid.

We respectfully request that the Commission get bogged down in a jurisdictional fight over the legal issues associated with State versus Federal jurisdiction and “major questions” concerns regarding whether a particular portion of the grid involves distribution or interstate transmission.³

² See the response to the first question in the Commission’s “Explainer on the Interconnection Final Rule” available at: <https://www.ferc.gov/explainer-interconnection-final-rule>.

³ See the Seven-Factor Test in the Commission’s Order No. 888, which is used to determine whether a facility’s primary function is “transmission” versus “distribution.”

Instead we recommend that the Commission seek collaborative and cooperative approaches with the various States and State Commissions to expedite the interconnection of large loads. Working together is much more likely to lead to the expedited interconnection processes for large loads that the Secretary's ANOPR is seeking.

We also suggest that the Commission avoid prescriptive Federal mandates for interconnecting large loads to the interstate transmission grid.

Instead, we submit that the Commission would do the most good by proposing guidance which developers of Data Centers and developers of new power plants could voluntarily pursue as a means of expediting the regulatory approvals required to meet the commercial deadlines of Data Centers and AI developers and users.

Such guidance could promote and encourage a range of acceptable operational requirements and contractual obligations that large loads and co-located generation could choose to put in place to address what happens when and if the co-located generation facility experiences a full or partial, scheduled or unscheduled outage. Those operational requirements and contractual obligations should separately address the three co-location configurations we noted above, namely:

- (i) FIRM - the Co-Located Load is intended to consume capacity and energy from the interconnected interstate transmission system during any outage of the Co-Located Generation;
- (ii) CO-LOCATED GENERATOR-CONTINGENT - the Co-Located Load is not intended to consume capacity or energy from the interconnected interstate transmission system during an outage of the Co-Located Generation; or
- (iii) INTERRUPTIBLE - the Co-Located Load is intended to consume energy from the interconnected interstate transmission system only during an outage of the Co-Located Generation, but such deliveries may be interrupted if and to the extent required by other firm customers.

Commission guidance could also designate the range of acceptable transmission system protections and contractual arrangements among Co-Located Load, Co-Located Generator, and the transmission grid owner or operator, that could be put into effect to ensure that the impacts of that co-location configuration on the grid and other customers (both generators and loads) served by the grid are adequately and reliably addressed.

C. THE COMMISSION SHOULD CONSIDER UTILIZING THE RECORD CREATED IN ITS SHOW-CAUSE ORDER PROCEEDING IN DOCKET NO. EL25-49-000 IN PREPARING ITS RESPONSE TO THE SECRETARY'S PROPOSED ANOPR IN ORDER TO ADDRESS THE CONCERNS WE RAISED IN SECTION III.B. OF THESE REPLY COMMENTS.

The issues we raised in Section III.B. of these Reply Comments are essentially the same as the issues that led the Commission to issue its *Order Rejecting Amendments to Interconnection Service Agreement* in PJM Interconnection, L.L.C., Docket Nos. ER24-2172-000 and 001, on

November 1, 2024 (“Rejection Order”). Therein the Commission explained that the amended interconnection service agreement (“Amended ISA”) would “increase the amount of Co-Located Load from 300 megawatts (MW) to 480 MW.”⁴ In paragraphs 13 and 14 of its Rejection Order, the Commission describes some of the transmission system protection provisions, included as “non-conforming terms and conditions” in the Amended ISA, as follows:⁵

13. PJM notes that the Amended ISA contains revisions addressing system protection facilities with respect to the separation of the Co-Located Load in the event of a loss of generation output. Specifically, PJM explains that the Amended ISA states that Susquehanna has installed a protection scheme to ensure the Co-Located Load separates if there is a loss of generation output from the Customer Facility to ensure no power flows from the Interconnection Transmission Owner’s facilities to the Co-Located Load. PJM states that this provision “reflects an important effort to minimize” the potential for an unauthorized taking of power from the PJM transmission system. PJM explains that the Amended ISA contains other provisions to support reliable operations, including that Susquehanna will provide generator shutdown and automatic tripping data to PPL and PJM upon request.

14. PJM states that the Amended ISA also includes other terms and conditions, including language specifying that Co-Located Load is not Station Power Load or Network Load PJM explains that the Amended ISA states that the Co-Located Load is not intended to consume capacity and/or energy from the PJM transmission system. But, PJM states that the Amended ISA also identifies potential steps if power flows from the PJM transmission system and PPL facilities to the transmission facilities of the Co-Located Load. PJM states that the Amended ISA is subject to revision, including PJM’s right to assess in a non-discriminatory manner additional rates, terms, or conditions, which may include transmission or ancillary service charges.

In rejecting PJM’s Amended ISA with PPL and Susquehanna, the Commission explained in paragraph 85 of its Rejection Order that:

... we find that PJM has not demonstrated that the proposed non-conforming provisions in the Amended ISA are necessary deviations from the pro forma ISA due to specific reliability concerns, novel legal issues, or other unique factors. Accordingly, we reject the Amended ISA.⁶

⁴ PJM Interconnection, L.L.C., 189 FERC ¶ 61,078, slip op. at page 1 (November 1, 2024).

⁵ Id. (slip op. at page 7).

⁶ Id. (slip op. at page 39).

Subsequently, on February 20, 2025, the Commission issued an *Order Instituting Proceeding Under Section 206 of the Federal Power Act and Consolidating With Other Proceedings* (“Show Cause Order”) in Docket No. EL25-49-000, which consolidated the Commission’s technical conference on “large loads co-located at generating facilities” in Docket No. AD24-11-000 and a complaint against PJM filed by Constellation in Docket No. EL25-20-000, with the Commission’s Section 206 Proceeding under the Show Cause Order.

The Show Cause Order directed PJM and its Transmission Owners to either (1) show cause as to why PJM’s Tariff remains just and reasonable “without provisions addressing with sufficient clarity or consistency the rates, terms, and conditions of service that apply to co-location arrangements” or “(2) explain what changes to the Tariff would remedy the identified concerns.”⁷

As a result of the Commission’s Show Cause Order and the many responsive pleadings submitted by affected market participants in Docket No. EL25-20-000, the Commission and its Staff should now have a relatively complete record on “co-location” issues in PJM on which to formulate and propose guidance in response to the ANOPR regarding the range of acceptable transmission system protection provisions that counterparties could apply to co-location arrangements involving large loads and co-located generation resources located at the same point of interconnection or at “proximate” points of interconnection with the interstate transmission grid.

In addition, the Commission could use the opportunity presented by its response to the Secretary’s proposed ANOPR to provide a practical and useful definition of “Co-Location” that would recognize when large loads and comparably-sized generators were located at the same point of interconnection or at different points of interconnection with the same grid which are reasonably “proximate” to each other.

D. IT IS STILL EARLY IN THE DEVELOPMENT OF AI, BUT QUESTIONS HAVE ALREADY BEGUN TO ARISE: WILL THE SUPPLY OF COMPUTE PROVIDED BY DATA CENTERS CONTINUE TO BE LESS THAN THE DEMAND FROM USERS OF COMPUTE FOR AI APPLICATIONS? WILL A BALANCE OF SUPPLY OF AND DEMAND FOR COMPUTE BE ACHIEVED? AND WILL SOME NUMBER OF DATA CENTERS BECOME STRANDED INVESTMENTS?

Some investment advisors and economists are already suggesting that capital investment in AI and Data Centers has become a “bubble,” with capital investment exceeding investment levels rationally justified by the level of commercially feasible applications for AI that are known and measurable today. Others contend that their capital-spend on Data Centers and AI is a sustainable investment based on real demand that is already beginning to materialize and even greater demand that will materialize in the not-too-distant future. At this time, the debate is unresolved; Is continuing growth in new Data Centers and AI a sustainable investment trend based on the demand for Compute by users of AI that will continue growing into the foreseeable future, or are Data Centers an investment “bubble” that will eventually burst?

⁷ Show Cause Order, Slip Op. in paragraph 2 on page 3.

Reportedly, the sales or lease price for a unit of “Compute” (calculated on a per MW basis) today is approximately three times the price per MW of building a power plant to produce the electric energy required to produce that unit of “Compute.” So the current “spread” between the expenditure to build new sources of power generation and the revenue from sales of Compute is sufficient to justify the cost of installing redundant power generation equipment to ensure that an outage of a generator co-located with a Data Center will not result in an outage of the co-located Data Center.

Over time, however, if the supply of Compute becomes balanced with or exceeds the demand for Compute, that “spread” could quickly narrow. If and when that happens, the impacts of the “commoditization” of “Compute” could cause the price for leasing or selling “Compute” to fall so far that the cost of achieving 100% redundancy for Data Center infrastructure could become too expensive for Data Center owners to economically justify.

We support expediting the process for interconnecting large loads, particularly Data Centers, for all the reasons we noted in our Initial Comments. Just as the developers and customers of new generation facilities currently bear the costs of interconnecting new generators to the interstate transmission system, including the costs of all necessary system impact studies, under the Commission’s existing policies applicable to the interconnection of generators to the grid, we also support having the costs of interconnections of large loads, including the costs of all necessary system impact studies, be borne by the developers and customers of such large loads, which should place the risk of stranded investment on those in the best position to manage such risk, i.e., the developers of such large loads.

Similar to the treatment afforded by the Commission to generators, if the interconnection of a large load provides benefits to the transmission grid and to others using that transmission grid, then various means should be made available to compensate the large load owner for providing such benefits to the transmission grid and its users.

E. WE SUPPORT THE PROPOSALS IN THE ANOPR TO SIMULTANEOUSLY STUDY AND EXPEDITIOUSLY APPROVE INTERCONNECTION OF DATA CENTERS WITH MATCHING CO-LOCATED POWER GENERATION RESOURCES, BUT ANY SUCH REGULATION MUST ALSO PROVIDE GUIDANCE REGARDING WHAT HAPPENS WHEN THE CO-LOCATED GENERATOR EXPERIENCES A SCHEDULED OR UNSCHEDULED, FULL OR PARTIAL OUTAGE.

We support the simultaneous study of system impacts from a Co-Located Load with its Co-Located Generation and the expeditious approval of the interconnection of both at a single point of interconnection or at two or more “proximate” points of interconnection, provided that the impacts on the transmission grid and other users of that transmission grid are addressed as set forth in Section III.B. of these Reply Comments.

F. THE HALT TO TRADING ON THE CME ON THANKSGIVING DAY (11/27/2025) DUE TO FAILURE OF THE COOLING SYSTEM AT A DATA CENTER DEMONSTRATES THAT DATA CENTERS NEED IMMEDIATELY

AVAILABLE BACK-UP SUPPLIES OF POWER, COOLING, AND OTHER NECESSARY INFRASTRUCTURE.

In Section III.D. of these Reply Comments and in our Initial Comments, we talked about the “commoditization” of Compute and what that might mean for the revenues Data Center owners and users may receive for selling or leasing their Compute to third-party customers. Such commoditization of Compute and the rapid build-out of Data Centers could result in a balance being reached between the supply of Compute and the demand for Compute from users. Going from the shortage in the supply of Compute today to a balance or beyond to a surplus of Compute could produce a steep decline in the price available for selling or leasing Compute to customers using such Compute for AI applications.

As we noted, Data Centers make money by: (i) leasing their data storage capability to cloud storage users; (ii) providing a platform for online services; (iii) leasing their Training Compute to AI model developers to “train” their AI models; (iv) leasing their Inference Compute to process user prompts from third-party users (some knowledgeable AI experts predict that Inference Compute will experience the most AI growth and produce the most revenues for Data Centers and AI model developers); and (v) other advanced computing applications.

While “commoditization” of Compute is a future risk, the risk most on the minds today for Data Center owners and users, particularly Hyperscalers, is the risk of a prolonged outage of any Data Center that a commercial or industrial business relies on for its daily operations.

Such an outage occurred on Thanksgiving Day, November 27, 2025. As reported by Bloomberg.com, “a data center cooling issue halted futures and options trading at the Chicago Mercantile Exchange” (“CME”). As reported, this Data Center located “just outside Chicago in Aurora, Illinois, that belongs to CyrusOne ... experienced a chiller plant failure that affected multiple cooling units,” which “triggered an outage that caused hours of disruption to markets across equities, foreign exchange, bonds and commodities, and affected contracts covering trillions of dollars” on CME’s trading platform.

For Data Centers providing similar services that require continuous online access, any outage is unacceptable. For Data Centers providing such services, whether such services are viewed as Compute or simply cloud storage or other advanced online computing capability, innovations in AI may never render the provision of such services into a fungible commodity that can be simply and easily replaced. If so, then Data Centers providing such advanced computer services may find that continuing to require 99.999% availability of electric generation, cooling systems, and other Data Center infrastructure will continue to be a required cost of doing business.

It is entirely possible that CME, and others relying on Data Centers to provide similarly high-reliability and high-availability online computer services, will find the cost of 100% redundancy for all Data Center infrastructure (i.e., electricity, cooling, etc.) as simply the cost of doing business at the speed and accessibility demanded by their customers and their business. On this basis, there could be some Data Centers for which “commoditization” causes 100% redundancy to be cost-prohibitive, while other Data Centers (depending on the requirements of the customers using each such Data Center) may find the security requirements of their customer to require such redundancy.

If that is the case, we submit that any guidance, policies, rules, or other regulations issued by the Commission in response to the Secretary's ANOPR will need to be flexible enough to encourage and accommodate both types of Data Centers.

G. EXPEDITED INTERCONNECTION AUTHORIZATION SHOULD NOT BE BASED ON CURTAILABILITY OF THE DATA CENTER LOAD WHEN AND IF THE TRANSMISSION GRID EXPERIENCES A SHORTFALL UNRELATED TO THE DATA CENTER OR ITS CO-LOCATED POWER GENERATION RESOURCE.

As noted by others in their initial comments in this proceeding, and in order to prevent Data Center outages of the type discussed above in Section III.F. of these Reply Comments, we do not support requiring curtailability of Data Center load as a condition to expedited interconnection of large loads, whether such large loads are Co-Located Loads or stand-alone large loads.

As noted above, many beneficial applications of Data Centers and AI will require continuous operation of the Data Center 24 hours a day and 7 days a week. Excluding such applications of Data Centers and AI from expedited interconnection approval, because such applications are unable to be curtailed, would not benefit the public interest and would be harmful to the public interest, which we believe is served by expediting and encouraging the development and application of such Data Centers, AI, and other similarly high-reliability large loads.

H. WHILE CURTAILABILITY SHOULD NOT BE A CONDITION TO OBTAIN EXPEDITED INTERCONNECTION APPROVAL, DATA CENTERS SHOULD BE ENCOURAGED TO UNDERTAKE ANALYSES OF AUTOMATED DATA CENTER INFRASTRUCTURE MANAGEMENT AND OTHER TECHNOLOGICAL METHODS THAT COULD ENABLE THE CURTAILING OF NON-COMPUTE-RELATED LOAD.

While we do not support requiring curtailability of any large load as a condition precedent to receiving expedited approval of interconnections of such large load, whether Co-Located Load or stand-alone load (i.e., not associated with any Co-Located Generator), we do think that demand-response reductions of any commercial or industrial load can be extremely beneficial to the transmission grid and its users.

Accordingly, Commission guidance should ensure that the owners and operators of the transmission system advise and encourage all large loads, especially Data Centers, of the benefits available to them from demand-response programs. If technologically feasible, the Commission could explore different forms of Data Center Infrastructure Management ("DCIM") services and assist the vendors of such DCIM services as a means of enabling Data Centers and other large loads to qualify for demand-response programs offered by the owners and/or operators of the interstate transmission system.

I. ANY GUIDANCE, POLICIES, RULES, OR REGULATIONS PROVIDED BY THE COMMISSION IN RESPONSE TO THE SECRETARY’S ANOPR MUST BE SUFFICIENTLY FLEXIBLE TO ENCOURAGE AND ACCOMMODATE INNOVATION IN DATA CENTER DEVELOPMENT, OTHER LARGE LOADS, AND THE ADOPTION OF AI, WHICH INNOVATIONS ARE INEVITABLE IN THIS NASCENT STAGE OF THEIR DEVELOPMENT.

The development of AI and Data Centers, and many other large loads, will continue to be in a nascent stage for many years to come. Accordingly, we encourage the Commission to ensure that any guidance, policies, rules, or regulations it may issue in response to the Secretary’s ANOPR will be sufficiently flexible to accommodate the huge range of innovations that are likely to accompany the development of AI and the accelerated time periods for responding to such innovations in AI and Data Center applications, as well as the potential development of other nascent large loads involving chip fabrication, critical minerals processing, and things we have not yet imagined.

IV. CONCLUSION

The IECA appreciates the opportunity to submit these Reply Comments to the Commission for your review and consideration. Please do not hesitate to contact the undersigned with any questions regarding this filing.

Respectfully submitted,

INTERNATIONAL ENERGY CREDIT
ASSOCIATION

/s/ Phillip G. Lookadoo

Jeremy Weinstein, Esq.
Law Offices of Jeremy Weinstein, PC
1512 Bonanza Street
Walnut Creek, CA 94596
925-943-2708
jweinstein@jweinsteinlaw.com

Phillip G. Lookadoo, Esq.
Christian A. Nunez, Esq.
Haynes and Boone, LLP
888 16th Street, NW, Ste 300
Washington, DC 20006
(202) 654-4510
Phil.lookadoo@haynesboone.com

Its Attorneys

December 5, 2025